BRIGHTWATER ROBOTICS, INC.

# Travel and Expense Policy

2026 Edition

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| **Document ID** | BW-FIN-TE-2026 | **Version** | 3.0 |
| **Effective** | January 1, 2026 | **Owner** | Corporate Controller, Finance |
| **Applies to** | All employees, interns, and contractors who travel or spend on Brightwater's behalf | **Supersedes** | Travel and Expense Policy 2024 Edition (v2.1) |

## 1. Purpose and Scope

This policy explains what Brightwater will pay for when you travel or spend money for the company, how to get approval, and how to get reimbursed. Our guiding principle is simple: **spend company money as carefully as you would spend your own, and travel as if your time matters, because it does.**

### 1.1 Systems

| System | Used for |
|---|---|
| Wayfarer | Booking airfare, hotels, rental cars, and rail. All trips must be booked here. |
| Ledgerly | Submitting, approving, and tracking expense reports and mileage. |
| Brightwater Visa | The corporate card for business expenses. |
| Harbor | Time off, approvals tied to HR, and work location requests. |

### 1.2 Transition from the 2024 Edition

Trips that **began on or after January 1, 2026** follow this policy. Trips that began before January 1, 2026 are reimbursed under the 2024 Edition, but their expense reports had to be submitted by February 28, 2026.

### 1.3 Summary of Changes from the 2024 Edition

| Topic | 2024 Edition | 2026 Edition |
|---|---|---|
| Advance booking | 7 days | 14 days |
| Cabin class | Economy up to 10 hours; business over 10 hours with VP approval | Economy under 6 hours; premium economy 6 hours or more; business over 10 hours with VP approval |
| Lodging caps (Tier 1 / 2 / 3) | $275 / $210 / $160 | $325 / $245 / $185 |
| Daily meal cap (standard) | $80 | $100 (Tier 1 cities: $120) |
| Mileage rate | $0.62 per mile | $0.65 per mile |
| Receipt required at | $75 | $25 |
| Expense report deadline | 30 days after trip end | 21 days after trip end |
| Client entertainment cap | $125 per person | $150 per person |
| In-flight Wi-Fi | Not reimbursed | Up to $10 per flight |
| Alcohol at team meals | Not reimbursed | Up to $30 per person at team meals of 3 or more employees |
| Weekend travel comp day | Not offered | 1 comp day when required to travel on a weekend for more than 4 hours |

## 2. Approvals

### 2.1 Trip Approval

Get approval **before** you book. The approver depends on the estimated total cost of the trip (airfare, lodging, ground transport, and meals).

| Estimated trip cost | Required approver |
|---|---|
| Up to $2,500 | Your direct manager |
| $2,501 to $7,500 | A Director or above |
| Over $7,500 | A Vice President |
| Any trip outside your country of employment | A Director or above, requested at least 30 days before departure, regardless of cost |

Travel between Brightwater offices in the United States and Canada is not treated as international travel for approval purposes and follows the dollar thresholds above.

### 2.2 Expense Report Approval

- Reports of $1,000 or less: your manager approves.
- Reports over $1,000: your manager approves, then the Finance Expense Audit team reviews.

- Reports over $5,000: a Director must also approve.

You may not approve your own expenses, and two people may not approve each other's reports.

# 3. Booking Travel

- Book through Wayfarer at least **14 days before departure**. If you must book later, add a short business reason in Wayfarer. Your approver will see it.
- Choose the lowest logical fare. A fare more than **$75 above the lowest logical fare** for similar times needs a reason.
- Basic economy fares are not permitted because they cannot be changed.
- Cancel unused bookings in Wayfarer as soon as plans change. Unused ticket credits belong to Brightwater, must be used for business travel, and expire after 12 months.
- If you miss a flight for personal reasons, you pay for the change.

# 4. Air Travel

## 4.1 Cabin Class

Cabin class is based on the scheduled flight time of the **longest single flight segment** in the itinerary.

| Longest segment | Allowed cabin |
|---|---|
| Under 6 hours | Economy (main cabin) |
| 6 hours up to 10 hours | Premium economy |
| Over 10 hours | Premium economy. Business class only with advance approval from a Vice President. |

## 4.2 Seats, Bags, and Extras

- **Seats:** Paid seat selection is not reimbursed, except for an exit-row or extra-legroom seat on a flight of more than 6 hours, up to $60 per flight.
- **Bags:** Your **first checked bag** is reimbursed. A second checked bag is not reimbursed unless your approver agreed in advance. Shipping or oversize fees for demo robot cases are not travel expenses and are arranged through Field Operations.
- **In-flight Wi-Fi:** Reimbursed up to $10 per flight.
- **Loyalty points:** Points and miles you earn belong to you.

# 5. Lodging

## 5.1 Nightly Caps

Hotel rates are capped per night **before taxes and fees**. The cap depends on the city tier.

| Tier | Cities | Nightly cap |
|---|---|---|
| Tier 1 | New York City, San Francisco, Boston, Washington DC, London, Tokyo | $325 |
| Tier 2 | Seattle, Chicago, Austin, Los Angeles, Denver, Toronto, Singapore, Frankfurt | $245 |
| Tier 3 | All other cities | $185 |

## 5.2 Lodging Rules

- Book in Wayfarer. Brightwater's negotiated rates are shown first.
- If you attend a conference and stay in the official conference hotel block, the nightly cap may be exceeded by up to **15%**.
- To exceed a cap for any other reason, you need advance approval from a Director.
- Short-term rentals (for example, home-sharing apartments) are allowed for stays of 5 or more nights when approved in advance and when the total cost, including cleaning fees, stays within the nightly cap multiplied by the number of nights.
- Lodging is not reimbursed for destinations within 50 miles of your home or assigned office.
- If a stay in one location will last **30 or more consecutive nights**, contact Tax before booking, because longer stays can have tax consequences for you and for Brightwater.
- Hotel parking is reimbursed only if you have an approved rental car. Valet is reimbursed only when self-parking is not available.

# 6. Ground Transportation

| Mode | Rule |
|---|---|
| Rideshare and taxi | Standard service only. Premium services (Black, Lux) are allowed only for safety, accessibility, or heavy luggage. Tips up to 20%. |
| Rental car | Midsize or smaller, booked in Wayfarer. Use a rental only if it is cheaper than rideshare and trains combined or there is no practical alternative. Brightwater's corporate insurance covers domestic rentals, so decline the optional insurance. Buy the collision damage waiver for international rentals. Refuel before returning. Prepaid fuel is not reimbursed. |
| Personal vehicle | **$0.65 per mile**. Miles are measured from the shorter of your home or your office to the destination. Your normal commute miles are never reimbursed. Tolls and parking are reimbursed separately. Keep a mileage log in Ledgerly. |
| Airport parking | Up to **$35 per day** at an economy or long-term lot. You may claim either airport parking or a rideshare to the airport for the same leg, not both. |
| Rail | Coach class. Business class is allowed on the Northeast Corridor when the fare is lower than the comparable airfare. |

# 7. Meals

## 7.1 Daily Meal Caps

While you travel overnight, meals are reimbursed at actual cost up to the daily cap for the city you are in. This is a cap, not a flat allowance, so you must submit itemized receipts.

| City tier | Breakfast | Lunch | Dinner | Daily total |
|---|---|---|---|---|
| Tier 1 | $24 | $30 | $66 | $120 |
| Tier 2 | $20 | $25 | $55 | $100 |
| Tier 3 | $20 | $25 | $55 | $100 |

- You may move money between meals within the same day (for example, skip lunch and spend more on dinner), but not between days.
- On the first and last day of a trip, the daily total is reduced to **75%**.
- If a meal is provided (for example, by a conference or included hotel breakfast), subtract the cap for that meal.
- Meals are not reimbursed on trips that do not involve an overnight stay, unless you are hosting a customer.

## 7.2 Team Meals

When 3 or more Brightwater employees share a dinner on a business trip, the most senior attendee pays and submits the receipt. The cap is **$65 per person** instead of the individual dinner cap. List every attendee in Ledgerly.

### 7.3 Alcohol

Alcohol is never reimbursed on a meal you eat alone or with only one other Brightwater employee. At **team meals of 3 or more employees**, alcohol is reimbursed up to **$30 per person** within the team meal cap. At client meals, alcohol is part of the per-person entertainment cap in Section 8.

## 8. Client Entertainment and Gifts

- Client meals and events are capped at **$150 per person**, including tax, tip, and alcohol.
- In Ledgerly, list every attendee by name and company and state the business purpose.
- Events with a total estimated cost over $500 need advance approval from a Director.
- Gifts to a customer or partner are limited to **$75 per recipient per calendar year**. Cash and cash equivalents are never allowed. Gifts to government officials require prior Legal approval.

## 9. Other Expenses

| Item | Reimbursed? | Limit or note |
|---|---|---|
| Hotel Wi-Fi | Yes | If not included in the room rate. |
| Laundry and dry cleaning | Yes | Only on trips of 5 or more consecutive nights. Up to $40 per trip. |
| International mobile data | Yes | Day pass or short-term plan, up to $10 per day. |
| Visas and required vaccinations | Yes | For approved business travel. |
| Passport fees | Yes | Only when the passport is first obtained or renewed for an approved business trip. |
| Currency exchange fees | Yes | Actual cost. |
| Business center and printing | Yes | Actual cost. |
| Tips | Yes | Restaurants and rideshare up to 20%, porters $2 per bag, housekeeping $4 per night. |
| Minibar, in-room movies, spa, personal entertainment | No | Personal expenses. |
| Spouse, partner, or family travel costs | No | Even if they travel at the same time. |
| Traffic and parking fines | No | Always the traveler's responsibility. |
| Airline lounge memberships | No | Personal. |
| Travel insurance | No | Brightwater provides coverage automatically. |
| Pet care and childcare | No | Personal. |

### 9.1 Adding Personal Days to a Business Trip

You may extend a business trip for personal time at your own cost. Brightwater reimburses the airfare only up to the cost of a comparable business-only itinerary. Personal lodging, meals, and transport are not reimbursed. Take the days as PTO in Harbor.

## 10. The Brightwater Visa

- Employees who travel at least 3 times per year, or who are approved by a Director, are eligible for a card.
- Use the card for business expenses only. If you charge something personal by accident, mark it as Personal in Ledgerly and repay it within **14 days**.
- Reconcile every card charge in Ledgerly. Do not use the card for cash advances.
- Cards are suspended if any charge remains unreconciled for more than 45 days (see Section 11.3).

## 11. Submitting Expenses

### 11.1 What You Must Submit

- Submit your report within **21 days of the end of the trip**. For expenses that are not part of a trip, submit within 21 days of the transaction date.
- A receipt is required for **every expense of $25 or more**. Meals require an itemized receipt, not just the card slip.
- State the business purpose for each expense. For meals with others, list attendees.
- For expenses in a foreign currency, Ledgerly converts at the rate on the transaction date.
- If you lose a receipt, complete a Missing Receipt Affidavit in Ledgerly. You may use up to **3 affidavits in any rolling 12-month period**.

### 11.2 Approval and Payment

Managers should approve or return reports within **5 business days**. After final approval, reimbursement is paid by direct deposit within **7 business days**.

### 11.3 Late Reports

| Days after trip end | What happens |
|---|---|
| 1 to 21 | On time. |
| 22 to 45 | Late. You and your manager are notified. Reimbursement is paid normally. |
| 46 to 90 | Reimbursement is paid through payroll as taxable wages. Your corporate card is suspended until the report is submitted. |
| More than 90 | Not reimbursable unless the Corporate Controller and a Vice President both approve an exception. |

## 12. International and High-Risk Travel

- International trips need approval at least **30 days before departure** (see Section 2.1).
- Register every international trip in Wayfarer so that Brightwater can find you in an emergency.
- Your passport must be valid for at least **6 months after your return date**.
- Countries under a Level 3 (Reconsider Travel) or Level 4 (Do Not Travel) government advisory require approval from the Chief Security Officer in addition to the normal approvals.
- In an emergency, call the 24-hour Travel Assistance Line at **+1-800-555-0177** first, then notify your manager within 24 hours.

## 13. Travel Time and Comp Days

Non-exempt employees are paid for travel time that falls within their normal working hours and for any time spent working while traveling. Exempt employees who are **required** by Brightwater to travel on a Saturday or Sunday for more than 4 hours in total earn **one comp day**, to be used within 90 days. Weekend travel that you choose, such as extending a stay, does not earn a comp day.

## 14. Exceptions and Violations

Request an exception in Ledgerly before you spend. Exceptions up to $500 can be approved by a Director. Larger exceptions need a Vice President. Finance audits a sample of reports each quarter.

Claiming personal expenses as business expenses, altering receipts, or submitting false information is a serious violation. Consequences can include repayment, loss of the corporate card, corrective action under the Employee Handbook (Part 3, Section 8), and termination.

## 15. Contacts

| Need | Contact |
|---|---|
| Policy questions | Finance Expense Audit: expenses@brightwater-robotics.example |
| Wayfarer booking help | Travel Desk: traveldesk@brightwater-robotics.example |
| Travel emergency (24 hours) | Travel Assistance Line: +1-800-555-0177 |
| Long stays and tax questions | Tax: tax@brightwater-robotics.example |

*Brightwater Robotics, Inc. is a fictional company created for training and demonstration purposes. All policies, figures, systems, names, phone numbers, and addresses in this document are invented.*